

CSIS JAPAN CHAIR

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● Japan Daily Brief

Tuesday, September 1, 2026

RE: JGB 10Y breaks 3% (30-yr high) · Bessent presses BOJ rate hike at G20 · FY2027 budget requests hit record ¥143T · CRA-CDP-Komeito merger cancelled · Takaichi drills on Disaster Prevention Day

NIKKEI 225
66,215.34
 ▼ -0.07%
 as of Sep 1

USD/JPY
160.10
 ▲ +0.55%
 as of Sep 1

EUR/JPY
185.58
 ▼ -0.16%

BRENT
\$92.09
 ▲ +2.66%

10Y JGB
1.50%
 yield

JAPAN 5Y CDS
20 bps
 — flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
 Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Japan's 10-year government bond yield hit 3% for the first time in 30 years, driven by BOJ rate-hike speculation and a global debt selloff, as US Treasury Secretary Bessent met Finance Minister Katayama and BOJ Governor Ueda on the G20 sidelines and publicly signaled he expects Japan to act to support the yen.
- 2 Japan's FY2027 budget requests are set to top a record ¥143 trillion, with the Defense Ministry seeking a record ¥8.9 trillion, while the economic and fiscal policy minister cautioned that the requests need broad comparison against rising prices and wages.
- 3 The planned three-way opposition merger among the Constitutional Reform Alliance, CDP, and Komeito was confirmed cancelled, reshaping the Diet opposition landscape ahead of any future electoral cycle.

TOP STORIES

ECONOMY-BOJ

Japan's 10-year JGB hits 3% for first time in 30 years as Bessent presses BOJ rate hike at G20

Japan's benchmark 10-year government bond yield breached 3% on September 1 — its highest level in approximately three decades — driven by BOJ rate-hike speculation and rising oil prices in a global debt selloff. US Treasury Secretary Bessent, meeting Finance Minister Katayama and BOJ Governor Ueda on the G20 sidelines, publicly stated he expects Japan to act to support the yen and signaled US acceptance of a BOJ rate hike, while describing current yen weakness as 'pretty contained.'

So what: A BOJ rate decision at or before the mid-September Monetary Policy Meeting would directly affect the yen, JGB yields, and Japan's debt-servicing costs on a record ¥143 trillion budget request cycle.

per The Japan Times: "Japan's 10-year government bond hits 3% for first time in three decades"

THE JAPAN TIMES

⚡ OVERNIGHT FLASH

INDO-PACIFIC · NIKKEI ASIA

Japan seeks to host CPTPP secretariat

Japan formally sought to host the permanent secretariat for the Comprehensive and Progressive Agreement for Trans-Pacific Partnership, a move that would anchor Tokyo's institutional role in the bloc. The bid, if successful, would give Japan greater administrative influence over the pact's expansion and rule-setting processes.

TECHNOLOGY · NIKKEI ASIA

Japanese bid for SK Hynix chip plant hits South Korean policy barriers

A Japanese attempt to attract an SK Hynix semiconductor facility faces South Korean government policy hurdles, per Nikkei Asia, complicating Tokyo's effort to build out its domestic chip supply chain beyond TSMC Kumamoto and Rapidus. The obstacles highlight the competitive and regulatory friction between allied semiconductor strategies.

STAT OF THE DAY

3%

Japan 10-year JGB yield — 30-year high reached Sep 1

The benchmark bond yield breached 3% for the first time in approximately three decades, fueled by BOJ rate-hike speculation and rising oil prices amid a global debt selloff.

Source: Japan benchmark bond yield hits 30-year high of 3% amid global debt selloff — Nikkei Asia

REGIONAL PRESSURE WATCH

Normal — 27 items (Japanese government: 21, adversary signal: 6)

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi participated in Japan's annual Disaster Prevention Day simulated earthquake drill, which this year modeled an 8.3-magnitude offshore Tokachi quake, per the Japan Times.

CHINA

China's Foreign Ministry spokesperson demanded Japan 'severely punish' the SDF officer who intruded into the Chinese embassy compound following his dismissal, with both Global Times and Xinhua amplifying the demand — extending Beijing's public pressure posture toward Tokyo and keeping the embassy incident in the bilateral narrative.

NORTH KOREA

North Korea conducted a missile test ahead of the scheduled start of US-South Korea exercises, per DW, and KCNA labeled Freedom Edge 2026 — set to begin September 7 near Jeju Island — a 'threat'; South Korea confirmed the trilateral US-Japan-ROK drills will proceed unchanged; North Korea separately reshuffled its military leadership per NHK.

RUSSIA

No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island remain the baseline.

Senkaku / ECS: No new CCG intrusion or Senkaku incident reported in today's feed; the sustained elevated CCG patrol baseline established through mid-2026 remains in effect.

“China urges Japan to bring the perpetrator to account after dismissal of SDF officer over Chinese embassy intrusion”

Chinese Foreign Ministry Spokesperson · China urges Japan to bring the perpetrator to account after dismissal of SDF officer over Chinese embassy intrusion: FM spokesperson — Global Times

Bottom line: North Korea's pre-exercise missile test and KCNA condemnation of Freedom Edge 2026 are the lead regional-pressure signal today, six days before the September 7 trilateral exercise start; the China-Japan bilateral remains elevated over the SDF embassy intrusion with Beijing sustaining public pressure for further Japanese accountability.

EXPERT ANALYSTS

OP-EDS & THINK TANK COMMENTARY

LOWY INSTITUTE

Sanae Takaichi's strong poll position masks a brittle mandate

PM Takaichi's high headline approval ratings obscure a structurally weak governing coalition that constrains her policy room on fiscal, security, and social issues.

The Lowy Institute piece argues that Takaichi's poll numbers — which vary from 41% to 62% depending on the pollster — mask an underlying coalition fragility stemming from reliance on minority partners and a fractured opposition that could rapidly consolidate against her. The analysis points to the ICC sanctions episode, the labor-market deregulation backlash, and fiscal pressure from rising JGB yields as stressors that could erode the mandate faster than headline numbers suggest. The cancelled CRA-CDP-Komeito merger reported today partially validates the piece's assessment of opposition fragmentation.

Analysts assessing the durability of Japan's defense buildup and US-Japan alliance commitments should track whether coalition strain translates into Diet friction on the FY2027 record defense budget request.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
Nikkei	62%	32%	—
Asahi	53%	33%	—
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 43d ago	41%	44%	—
Yomiuri	56%	32%	—

FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 47d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Discourse: Poll readings diverge sharply across houses — Nikkei shows 62% approval while Mainichi shows 41% — reflecting methodological differences and the cross-cutting effects of the food tax cut, fiscal concerns, and ICC sanctions controversy on different survey populations.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · TUESDAY, SEPTEMBER 1, 2026

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Sanae Takaichi, Prime Minister*

PM Takaichi participates in Disaster Prevention Day earthquake drill simulating 8.3-magnitude Tokachi offshore quake

PM Takaichi participated in Japan's annual Disaster Prevention Day drill, which this year simulated an 8.3-magnitude earthquake off the coast of Tokachi in Hokkaido. The drill is held annually on September 1, the anniversary of the 1923 Great Kanto Earthquake.

→ [The Japan Times](#) ↗

内閣府 · CABINET OFFICE

Chief Cabinet Secretary states government 'closely watching' bond market amid 3% JGB yield breach

The Chief Cabinet Secretary told reporters at the morning press conference that the government is closely watching bond market moves following the 10-year JGB yield's breach of 3%, its highest level in approximately 30 years.

→ [Mainichi](#) ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY

METI to mandate third-party inspection for mobile batteries under tightened safety regulations

METI announced it will require third-party safety inspections for mobile batteries as part of a tightening of safety regulations for the product category.

→ [Google News](#) ↗

UPCOMING

- SEP 2** **Anniversary: Japan's formal surrender aboard USS Missouri (1945)**
September 2 marks the 81st anniversary of Japan's formal surrender, a recurring occasion for reflection on the postwar security order and the US-Japan alliance.
-
- SEP 7** **Freedom Edge 2026 US-Japan-ROK trilateral exercises begin near Jeju Island**
The confirmed start date for Freedom Edge 2026, the trilateral US-Japan-South Korea maritime exercise focused on North Korea nuclear and missile threat scenarios; North Korea condemned the drills and conducted a missile test ahead of their start.
-
- SEP 15** **BOJ Monetary Policy Meeting (estimated)**
The next Bank of Japan policy meeting falls in mid-September; US Treasury Secretary Bessent publicly urged a rate hike before the meeting, and markets are pricing elevated probability of action given the yen at 160 and the 3% JGB yield breach.
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- DEC 1** **MOD FY2027 defense budget — Cabinet draft expected December**
Following the record ¥8.9 trillion MOD budget request submitted September 1, the Cabinet draft defense budget is expected in December for Diet passage in March 2027, per Japan's annual budget cycle.
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- MAR 31** **Host-Nation Support Special Measures Agreement expiration (FY2026 end)**
The current US-Japan Host-Nation Support Special Measures Agreement runs through March 31, 2027; negotiations on the successor agreement will be an alliance-management focal point through FY2026.
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US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel **50%** SECTION 232

Aluminum **50%** SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired Jul 24, 2026; Section 301 forced-labor tariff entered force Jul 24, 2026

DIET WATCH

CABINET OFFICE / BUDGET

FY2027 budget requests likely to top ¥143 trillion — record high

Japan's FY2027 budget requests from all ministries are expected to exceed ¥143 trillion, a record figure, per Jiji Press. The economic and fiscal policy minister stated that the requests need broad comparison against rising prices and wages while strengthening the economy's growth potential.

NIKKEI ASIA / TAX POLICY

Japan ministries seek slate of tax breaks covering bond purchases, wage hikes, and growth investments

Multiple ministries submitted tax-break requests for FY2027 focused on growth investments, bond purchases, and wage hike incentives, per Nikkei Asia and Jiji Press, as part of the annual tax reform request cycle.

WIRE

BUSINESS & ECONOMY

FINANCE · NIKKEI ASIA · MUFG, BLACKROCK

MUFG teams with BlackRock to raise overseas capital for Japan M&A

Mitsubishi UFJ Financial Group is partnering with BlackRock to raise overseas funds targeted at Japan mergers and acquisitions, per Nikkei Asia. The tie-up reflects continued foreign investor interest in Japanese corporate restructuring amid improved corporate governance.

FINANCE · NIKKEI ASIA · GLP JAPAN

GLP Japan launches \$3.7 billion logistics fund drawing global investors

GLP Japan established a \$3.7 billion fund for logistics centers, attracting global institutional investors, per Nikkei Asia. The fund reflects sustained inbound investment demand in Japan's real estate and infrastructure sector.

MACRO · BLOOMBERG

Japan's companies boost capital investment as profits surge

Japanese companies are increasing capital investment as corporate profits surge, per Bloomberg, continuing the trend of domestic reinvestment that has underpinned Tokyo's push to raise wages and strengthen economic growth potential.

INDO-PACIFIC

DPRK · DW

North Korea tests missile ahead of US-South Korea drills

North Korea conducted a missile test ahead of the scheduled start of US-South Korea military drills, per DW, continuing its pattern of launches timed to allied exercise cycles.

TRILATERAL · KOREA TIMES

South Korea: no changes to US-Japan-ROK Freedom Edge 2026 drills despite North Korean criticism

South Korea confirmed Freedom Edge 2026 trilateral exercises with the US and Japan will proceed as scheduled starting September 7 near Jeju Island, rejecting North Korean demands to cancel the drills.

INDO-PACIFIC · MOFA

Inaugural Japan-Australia Leadership Dialogue held

Japan and Australia held their inaugural Leadership Dialogue, per MOFA, advancing the bilateral security and strategic partnership between Tokyo and Canberra.

ALSO TODAY / THE WIRE

ECONOMY-BOJ · NIKKEI ASIA

US pressure and bond market replace spending caps as Japan budget constraints

Nikkei Asia reports that with Japan's traditional domestic spending caps abandoned, external pressure from the US Treasury and bond-market vigilance — now visible in the 3% JGB yield — have become the operative constraints on Japan's fiscal trajectory.

DEFENSE · THE JAPAN TIMES

Japan-Belgium defense ministers deepen security ties; first Belgian defense attaché assigned to Tokyo

Defense Minister Koizumi met his Belgian counterpart, agreeing to deepen security ties and welcoming Belgium's first assignment of a defense attaché to the Tokyo embassy.

Japan's Supreme Court to pilot AI in civil trials with ¥60M FY2027 budget request

The Supreme Court included approximately ¥60 million in its FY2027 budget request for AI-related expenses as part of a civil-trial AI pilot program.

ON THIS DAY

SEPTEMBER 2, 1945

Japan signed the formal instrument of surrender aboard USS Missouri, ending World War II — the eve of that anniversary falls today.

The surrender framework established the US-Japan security relationship that underpins today's alliance and base posture debates, including host-nation support and USFJ realignment.